

HOUSE No. 177

The Commonwealth of Massachusetts

PRESENTED BY:

Michael J. Soter

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act establishing a local transaction fee on cannabis sales.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	DATE ADDED:
<i>Michael J. Soter</i>	<i>8th Worcester</i>	<i>1/17/2025</i>

HOUSE No. 177

By Representative Soter of Bellingham, a petition (accompanied by bill, House, No. 177) of Michael J. Soter relative to establishing a local transaction fee on cannabis sales. Cannabis Policy.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act establishing a local transaction fee on cannabis sales.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Chapter 94G of the General Laws, as appearing in the 2022 Official
2 Edition, is hereby amended by striking out subsection (d) of section 3 in its entirety and inserting
3 in its place thereof the following:-

4 (d) No municipality shall require a host community agreement (HCA) as a condition for
5 the licensing, operation, or approval of any cannabis retail establishment within its jurisdiction.
6 Cannabis retailers shall be subject to all applicable state laws and regulations but shall not be
7 required to enter into separate agreements with municipalities beyond the requirements of state
8 law.

9 SECTION 2. Chapter 64H of the General Laws, as appearing in the 2022 Official
10 Edition, is hereby amended by inserting the following:-

11 Section 6B. Local transaction fees on cannabis sales

(a) In addition to the state sales tax imposed under section 2 of chapter 64H, there shall be an additional local transaction fee of 1% on all retail sales of cannabis or cannabis products sold by a licensed cannabis retailer in any municipality within the commonwealth.

(b) The local transaction fee shall be collected by the retailer at the point of sale and remitted to the department of revenue, which shall distribute the funds to the appropriate municipality.

(c) The 1% local transaction fee shall be in addition to any local sales tax and shall be collected on all adult-use cannabis products. All medical marijuana transactions shall be exempt.

SECTION 3. The department of revenue shall promulgate regulations regarding local transaction fee collection and distribution within 90 days of the effective date of this act.